www.snehamumbai.org

# Fundraising Policy

January 2022

# Fundraising Policy

## 1. INTRODUCTION

### 1.1 Why do we raise funds?

SNEHA is a secular, Mumbai-based non-profit organization, registered as a Public Trust, addressing the health needs of women and children in the most vulnerable urban informal settlements. SNEHA being a non-profit organization, the source of funding is through donations and grants received from corporate entities, foundations, individuals and other organizations. The funding received is utilized only for the purpose of operations of the Trust's objectives.

The funding raised can be allocated in any of these broad areas:

a) Program funding, which is utilized for implementation of SNEHA's intervention programs (e.g. Maternal and Newborn Health program)
b) Domain specific funding - Research (counted as program funding under CSR laws), Technology, Communication.
c) Program reserves, where funds are earmarked for a particular program as per the donor's request, but utilization does not have to be provided, and the funds can be utilized as and when required for that particular program
d) Central Operations funding, which is used towards operating or central costs of the organization (e.g. central Finance department, Communications, HR, Fundraising)
e) General Reserves, which are unrestricted funds that can be utilized wherever there is a shortfall or requirement of funding, in programs or operations, and to manage future contingencies
f) Corpus, which adds to the organization's corpus funds and cannot be utilized without the permission of the Charity Commissioner Maharashtra.
g) 'Others', as decided by management and approved by the Board for extraordinary purposes other than the above, but towards the charitable purposes or operations of the Trust

## 2. PROCESS OF RECEIVING DONATIONS

### 2.1 In what form do we receive donations?

Donations are received in the form of cash, cheque, online bank transfer and through online payment gateways. Donations in currency are accepted as per prevailing Reserve Bank of India regulations. Cash donations above INR 2000 are not accepted; in practice we do not accept any cash donations.

In case of in-kind donations, SNEHA does not distribute any new or used products in the communities we serve and hence we have limited requirement of in-kind donation depending on the need of the program. These could include medical equipment (for

SNEHA Shakti clinic or public health facilities), computer equipment, stationery products, etc. These in-kind donations are documented by the Administration Team and maintained in the in-kind donation file.

### 2.2 What are the sources of funds?

The different sources of funds are as follows:

a) Donations or Grants received from Companies as per Corporate Social Responsibility – Indian Companies Act 2013 (CSR Act)
b) Donations or Grants From Institutions/Agencies/Trusts/Foundations
c) Donations or Grants received from Individuals and others
d) Donations raised through crowd-funding platforms, either in India or abroad.
e) Grants received from the Government
f) Donations or Grants From Trust & other Non Profit Organizations

Before approaching any company or organization for funding, the Fundraising Team conducts a KYC on the prospective donor. The KYC process is outlined in the following section.

### 2.3 Why we do KYC?

SNEHA does a proper due diligence process of its donors to ensure that the donors are not involved in any business or practices which does not align with SNEHA's principles. This is checked and signed off by the Fundraising Team.

***The KYC policy approved by Trustee Board is as follows:***

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**DUE DILIGENCE PROCESS FOR DONORS**
**Date: 10 June 2015**

This policy is an update to the prevailing policy on Donor profiling to ensure that SNEHA does not accept funds from organizations working in contravention to human rights and in conflict with our vision of "Health Women and Children for a Healthy Urban World"

(1) SNEHA is working on the issue of Child Health and actively promotes breast feeding of infants. Therefore we will prefer not to associate with companies involved in manufacturing complementary food for infants. Companies known to predominantly manufacture and market baby food are Nestle, Wockhardt, Abbott, Mead and Johnson
(2) SNEHA works on the issue of health and nutrition and hence will prefer not to associate with companies that primarily manufacture junk food. Some predominant junk food

manufacturers are Coca Cola Company, PepsiCo, Yum holdings (Dominos, Pizza Hut, KFC) etc.

(3) Our work on violence shows that alcohol and addictive substances precipitate abuse. SNEHA will prefer not to associate with companies manufacturing alcohol, cigarettes, gutka and other such addictive substances. Companies known to predominantly manufacture addictive substances are United Breweries, United Spirits, Diageo, Khoday, Radico Khaitan, Som Distilleries, Tilaknagar Industries, Globus, Amrut Distilleries, Jagatjit, Amber, ITC, GTC, Godfrey Phillip, VST, NTC, Golden Tobacco, Pan Parag, Manikchand, and Rajnigandha.

(4) SNEHA works on Gender Based violence and workplace harassment falls under the ambit of violence against women.

(5) Child labor is difficult to unearth due to sub-contracting of the manufacturing process, but SNEHA is committed to not associate with companies whose names have appeared in the public domain for having flouted child labour rules.

(6) SNEHA prefers not to accept funding from organizations that have known religious and/or political affiliations.

In case of exceptions, approval from Trustees is to be taken prior to accepting funding.
If it comes to the notice of any staff that one of our existing funders is in contravention to the above, it has to be highlighted as a 'Risk' and escalated to the Trustee Finance Sub-committee immediately.
SNEHA will also do its due diligence on the following - Review for negative press/ media or other publicly available information about the funder and its Management / Board members

**DUE DILIGENCE QUESTIONNAIRE (to be completed by the Fundraising Manager)**
***PLEASE FILL WITH YES OR NO ANSWERS:***

(1) Does the organisation employ child labour ☐

(2) Does the company engage in or manufacture the following:
   a. Complementary Infant food ☐
   b. Junk food/beverages ☐
   c. Cigarettes or any other tobacco products ☐
   d. Narcotics and Alcohol
   e. Any other products harmful to health

(3) Does the company have three years of audited accounts and Annual Reports? ☐
   Are they available for viewing on the website or in public domains? ☐

(4) Is the Memorandum of association, incorporation certificate, Trust Deed available for inspection on the website? ☐

(5) Is the company a foreign entity (51% or more owned by foreigners) ☐
   If foreign entity, what is the percentage of foreign holding? _____

(6) Does the organization have any known political or religious affiliations? ☐

(7) Is there negative coverage on the organization or its Senior Management / Board members? ☐
If yes, give details_____

(8) Has the organization supported any other NGOs in the past?
Yes ☐ No ☐
If yes, list the organizations_____
CHECKED BY: FUNDRAISING MANAGER
SIGNED:
NAME:
DATE:
SOURCES OF INFORMATION: Website, Annual Report, Personal meeting (call memo attached)
COUNTER SIGNATURE: _____ (CEO / Program Director/Finance Director)
Date:

***TABLE 1*** – LIST OF COMPANIES ON NEGATIVE LIST – JUNE 2015

| COMPANY | PRODUCT MANUFACTURED |
|---|---|
| Nestle | Infant Food |
| Wockhardt | Infant Food |
| Heinz | Infant Food |
| Mead & Johnson | Infant Food |
| ITC | Alcohol |
| Shaw Wallace | Alcohol |
| Diageo | Alcohol |
| Radico Khaitan | Alcohol |
| Som Distilleries | Alcohol |
| United Breweries | Alcohol |
| United Distilleries | Alcohol |
| Pepsi | Junk Food |
| Coca Cola | Junk Food |
| Yum Holdings (Pizza Hut, Dominoes etc.) | Junk Food |
| Pan Parag | Gutkha |
| Amrut Distilleries | Alcohol |
| Amber | Alcohol |
| Globus | Alcohol |
| TilakNagar Ind | Alcohol |
| Godfrey Philips | Cigarettes |
| VST | Cigarettes |
| NTC | Cigarettes |
| ITC | Cigarettes |
| Golden Tobacco | Cigarettes |
| Rajnigandh | Gutkha |
| Manikchand | Gutkha |

In addition to the companies listed above, any companies not aligning with SNEHA's KYC policy will not be approached for funding. This will also include companies that have been put on the Government's watchlist for any irregularities concerning the FCRA (Foreign Currency Regulation Act) laws.

**2.4 Issuing of Donation receipts for all donations/grants received:**

- For every donation or grant received, the Fundraising team first verifies if this is a domestic or a foreign currency (FC) donation, through an email communication from the donor. All FC donations have to be deposited/remitted in the mandated FC account with the State Bank of India, New Delhi branch, as amended by Foreign Contribution (Regulation) Amendment Act, 2020 effective September 29, 2020. All domestic donations will be deposited/remitted in SNEHA's domestic bank accounts, either in the designated bank account of the donor (if required as per the terms of the grant agreement) or SNEHA's domestic bank account, which will be indicated by the SNEHA Finance team.
- For all donations/grants, the donor details required are - full name of donor, contact details (email, phone number) and postal address.
- In addition, for domestic donors (Indian citizens), it is mandatory to collect the PAN details; and FC donors (non-Indian citizens) it is mandatory to collect the Passport details (the passport should be a valid one and not an expired one)
- Once all the details are received, the details are added in the following order: Name of the donor, type of the donor (domestic or foreign), PAN (if domestic donor), formal name according to the id proof provided (if the donor is domestic, then the PAN is verified on the TRACES website), address and pincode, contact number, email, passport number (if the donor is foreign) and whether hard copy of the 80G receipt (if eligible to receive) is required or not.
- Processing of Donations:
    - Donations made through cheque - The Fundraising Team receives the cheque, captures the details of donors in the Google Spreadsheet - Fundraising Data (for FR Team) and hands over the cheque to the Finance Team.
    - Donations received by electronic transfer are intimated by Finance team to the Fundraising Team and then the Fundraising Team captures the details of donors in the common Google Spreadsheet - Fundraising Data (for FR Team)
    - Donations in cash are not encouraged and very rarely received by SNEHA. For any such cash donations (cannot exceed INR 2000), the donor details are captured by the Fundraising team in the Google Spreadsheet - Fundraising Data (for FR Team) and shared with the Finance team.
    - Once the details are entered in the spreadsheet, a FR Form is generated and sent to the Finance team, along with any supporting documents (e.g. MOU, e-mail specifying the purpose of donation, etc.)
- Once the donation is received, in whichever form, the Fundraising team sends an acknowledgement to the donor stating that the funds have been received,

thanking them for the donation and stating that the 80G receipt will be shared once the payment is processed.

- For existing donors, where all the donor details are available in the Fundraising Data (for FR Team) master sheet, the Fundraising Coordinator enters the new donation/grant details in the inputs sheet, and generates the FR form, which is shared with the Finance team on the same or next day along with the supporting documents.
- For new donors, the FR form is raised and shared with Finance team once all the donor details are received from the donor and entered in the master sheet.
- Once the FR Form is shared with the Finance team, the Finance team processes the payment and issues the 80G receipt. The 80G receipt should reach the donors within a time span of 7 days from receiving the FR Form. In case this time limit is exceeded then the reason for delay needs to be mentioned in the shared Google spreadsheet by either the Fundraising or the Finance team, wherever the delay is.
- For donations raised through online (i.e. SNEHA website) and crowd-funding platforms, the process would change depending on the agreement with the online/crowd-funding platform. Typically, the crowd-funding platform would electronically transfer the funds raised to SNEHA. In most cases (e.g. GiveIndia), the 80G receipt is issued by the crowd-funding platform to the individual donors and SNEHA after receiving the funds will issue the 80G receipt to the crowd-funding organization. In certain cases where the crowd-funding platform is not registered as a Trust, then SNEHA would need to collect individual donor information through the crowd-funding platform and issue 80G receipts to the individual donors.

  The donations through the SNEHA website are raised through integrating a payment gateway on the website. The payment gateway's interface is designed in such a way that it captures all the donor details (name, PAN, address, email, contact number and program/general reserves being supported). All the details are stored in the dashboard of the payment gateway. Once the finance teams intimates the receipt of funds from the payment gateway, the details are downloaded from the dashboard and are uploaded on the spreadsheet. In case any detail is missing, then the FR team contacts the donor and gets those details. Once all details are added in the spreadsheet, the FR Form is sent to the finance team along with the details downloaded from the dashboard of the payment gateway and the invoice, if any. The process of issuing 80G receipts to the donors is the same as detailed above.

If a donation is received without a specific program being mentioned, or the donor has not verbally or through written means indicated any preference, then the donation is allocated to SNEHA's general reserves.

Donations for the Corpus must be accompanied by a letter from the donor specifically mentioning that the donation be held in the corpus.

On a monthly basis, all new donors who are added to the Master list of donors, their email IDs are to be updated on the mailing list of SNEHA. Details of all prospects (corporate, HNI and Foundations/Trust) and donors are to be entered and maintained/updated in the CRM system on a monthly basis. Contact details of all prospects and donors, including individuals, are to be updated in the mailing service platform, to ensure that they receive our periodic newsletters. The updation of email IDs is checked by the Fundraising lead every month through a sample check.

### 2.5 Individual Fundraising campaigns (on crowdfunding platforms)

Should an individual reach out wanting to fundraise for SNEHA, a set of clauses need to be sent discussing which programme the fundraiser will support, which platform they plan to fundraise on, the planned target and the process for transferring the funds to SNEHA and issuance of 80G receipts. As of November 2021, if the individual fundraiser would like all the funds to come to SNEHA the preferred platform is GiveIndia. If the individual fundraiser prefers to hold the fundraiser on any other platform (other than GiveIndia), then they can receive the funds to their personal account and then transfer it to SNEHA, in which case the 80G receipt will be issued to the fundraiser alone and not the individual donors.

For large fundraisers (where the target is greater than Rs.100,000 or association with a corporate entity), the clauses discussed should be on the SNEHA letterhead which will be signed by the CEO. However for smaller fundraisers the clauses can be mentioned through email. The Communication team should be kept in the loop for all the social media aspects of making creatives and sharing on our platforms and later putting up a Thank You post.

Should SNEHA want to reach out to an individual (e.g. a social media influencer or celebrity) to start a fundraiser, we can reach out to them on their social media page or write to their agent. This may also include a site visit which can be organised with the respective program teams and the same process as mentioned above to fundraise.

Please refer to Section 3.4 'Other Events' for examples of fundraising campaigns and collaborations.

## 3. PROCESS OF FUNDRAISING

### 3.1 What is the process of Fundraising?

a) ***Internal planning:*** The program and domain teams prepare their plans for the next financial year in October of the previous year. By the end of November all program proposals and budgets are to be sent to the Fundraising team. During the process of prospecting, based on the donor's interest, the relevant proposals are shared with the funders.

b) ***Prospecting:*** The Fundraising Team maintains the database of Donors in the CRM System which needs to be updated on a monthly basis. Details of new and prospective donors are also updated in the CRM system. Details of donors are obtained from different sources like corporate websites, CSR databases, web search, online publications, references and in-person meetings. Prospecting of new donors is done regularly throughout the year. Prospects are identified based on their CSR focus areas.

Prospecting will include going through the following documents:

- Proof of legal entity i.e. Memorandum & Articles of Association; Certificate of Incorporations; Trust Deed etc.
- Proof of audited filed tax returns and Annual Reports for the 3 yrs preceding the grant date.
- List of other NGOS they have supported in the past from the annual report or website

Under Zoho CRM (which SNEHA is currently using), the stages under Prospecting include - 'KYC check' and 'Needs Analysis'.

c) ***Meeting with the prospective donor:*** The Fundraising Team tries to reach out to the prospects and fix a meeting to share details of SNEHA's work. Before this, a KYC check on the donors are done as per SNEHA's due diligence process for donors. In the first meeting, the Fundraising team shares an overview of SNEHA's work and understands the CSR or Foundation's focus areas. Post the first meeting, based on the donor or foundation's interest areas or the CSR focus areas of the corporate, the Fundraising team is able to identify which program could be presented to the funder. The prospective funder may also require a due diligence document to be filled by the NGO, which is done by the Fundraising team, with inputs from the Finance and HR team.

Under Zoho CRM this stage is titled - 'First meeting',

d) ***Identify decision makers***: This is an important step in prospecting, where we try and reach out to our network of Trustees, CEO and other contacts, to get a senior level contact with the organization, in addition to the CSR POC.

The Zoho CRM stage is named similarly. As part of this stage or earlier, typically an 'Organisation overview/one-pager' is shared with the prospective donor.

e) ***Proposal discussion & Site visit:*** Based on the donor's area of interest, the respective program's proposal and budget are shared with them. The next stage is a meeting or site visit, if the donor agrees to it, with the program team which the proposal has been submitted for, which is arranged jointly by the Fundraising and Program team. The program team makes a detailed presentation on the planned program, past results, etc., typically followed by a site visit. The fundraising team then follows up with the prospective donor on the next steps. The donor details on the CRM system are kept updated throughout this process.

Under Zoho CRM, the stages would include - 'Proposal sent', 'Site visit'.

d) ***Proposal submission & Review:*** If the discussion progresses, the next step is when the donor requests for a formal submission of the proposal and budget. The

Program team finalises the proposal and budget along with the Finance team, which is then sent to the Fundraising team and shared with the funder. The proposal and budget are reviewed by the CSR/grants team, CSR/Grants Committee and if approved is discussed at the Board level for their approval. At each of these stages, the prospective donor (CSR or Grants team) could come back to SNEHA for queries and further information. There is typically also negotiation of the budget based on their funds available, internal policies, budget line items, etc. If the proposal is accepted, then we move to drafting and finalizing the MOU as detailed below. If the proposal is lost, this is also to be updated in the CRM system. The Zoho CRM stage is titled 'Negotiation/Review'.

e) ***Memorandum of Understanding (MOU):*** For grants received from Companies and Foundations, a Formal MOU needs to be signed between the Donor Organization and SNEHA (Society for Nutrition, Education and Health Action). If the Grantor/Donor do not wish to place a formal MOU, for any donation above Rs.25 lakhs it is recommended that a letter (on the organisation's official letterhead) is sent by the Grantor/Donor to the Grantee/Donee, stating the grant amount, duration and which program or general reserves they will be supporting. MOU's are to be reviewed by the respective program's Program Director and/or the Associate Program Director, Associate Director Fundraising, Finance Director and CEO prior to execution. After reviewing the MOU, the program lead (PD or APD) must send an email that they have approved the MOU. MOU's of all Donors should be referred to external legal counsel for review. In certain cases (e.g. renewal of MOUs), the legal review can be waived if there are no significant changes in the MOU as compared to the previous year. This waiver will be at the discretion of the Associate Director – Fundraising & Communications. After the respective PD and Finance Director approve the MOU, the revised MOU or any clarifications on the MOU is then shared with the Grantor/Donor. After finalization of the clauses, the final MOU is signed off by the CEO and the authorized person from the Donor organisation. Once the MOU is signed, the proposal moves to the 'Won-Active' stage in Zoho CRM.

   One copy of the signed MOU is handed over to the Finance Department and the other copy is sent to the donor. After handover of MOU to the Finance Department, the MOU sheet in the shared MOU folder is updated with the handover date for confirmation to the Finance team. A soft copy of the MOU will be saved in the shared folder accessible by the Program team leads (PD, APD), Finance and Fundraising team.

f) ***Reporting:*** Once the prospect becomes a donor and a formal MOU is signed between the donor and SNEHA, the program team begins utilizing the approved budget from the funder. The program teams send regular program updates and financial utilization reports to the donor as per the time-lines stipulated in the MOU, typically on a quarterly basis. The Fundraising team ensures that these reports are sent on a timely basis. At the end of the financial year, the annual program report and full-year financial utilization report are shared with the

donor. An online tracker shared with the program and finance teams is used to track the status of reports submission.
Discussions on Renewal of funding for the following year should be initiated typically 2-3 months before the end of the MOU period.

### 3.2 Annual Fundraiser:

The Annual Fundraiser is an event organized by the Fundraising team every year in the January to March quarter. The objective is to raise funds from individuals and corporate donors to raise unrestricted funds for SNEHA General Reserves. This also serves as a forum to meet and thank our donors for their support during the year.

Steps for organising the Annual Fundraiser event -

a) Meeting with CEO, Fundraising volunteers to decide on the time-lines and broad plan for the Fundraiser.
b) Short-list venue and event/performance for the Fundraiser
c) A budget and target funding amount is prepared by the Fundraising team, which needs to be approved by the Trustees, as the budget will be taken from SNEHA reserves, and then adjusted against the funds raised through the Fundraiser
d) The venue, performance and other necessary preparations need to be finalized. As per SNEHA's Finance policies, 3 quotations need to be obtained for the event venue and any other expenses above Rs.25,000/-.
e) The Souvenir content is to be finalized and printed before the Fundraiser so that it can be distributed at the Fundraiser, along with the Annual Report.
f) The process flow and approximate time-lines for organizing the Annual Fundraiser are shared in a separate document.

### 3.3 Annual Fundraising Budget:

The fundraising budget is prepared in advance of the financial year for approval by the Trustee board, as part of the organization budget. The budget for the Fundraising team is prepared by the Fundraising Lead in consultation with the Finance team and approved by the CEO. If there are new expenses proposed during the course of the year, the annual budget has to be updated and approved by the CEO.

### 3.4 Other events:

The fundraising team also attempts to build the donor network and raise funds through other events throughout the year.

a) Mumbai Marathon is held every year and an attempt is made to sign up corporates and individual runners to raise funds, as per the time-lines and fundraising options decided by the Marathon organisers.
b) Site visits by Leadership Team building organizations (e.g. Common Purpose, The Philanthropy Workshop, etc.) also provide good exposure to our work, besides some fundraising
c) Donor dinners are organized from time to time to strengthen donor relationships. These could either be program specific (bringing together existing, past and prospective donors of one particular program, e.g. donor round-table), or HNIs or a larger group of donors and prospects. Donor dinners could be hosted by a Trustee or donor or by SNEHA, where they invite their network of prospective donors.
d) Individual HNI prospecting where we target HNI's to become long term donors to SNEHA
e) Online collaborations (detailed separately) - Various individuals have approached SNEHA to fundraise through collaborating in activities. These would include getting a percentage of sales from book/clothes/food sales, proceeds from online sessions on baking/ videography, etc.
f) Fundraising through school students - 'Students for SNEHA' was introduced as a way to streamline fundraising from students. Students who approached us from various schools around Mumbai were given different ideas on how to fundraise depending on the cause they are passionate about. The fundraiser was either on the GiveIndia platform or on platforms that the students preferred and funds were transferred to SNEHA. All the social media posts by the students were shared on SNEHA's social media pages to maximise reach.

Vanessa D'Souza
CEO